IN THE MATTER OF HARTWELL PHARMA LIMITED v CRYOVANCE COLD CHAIN LIMITED

ADVICE ON MERITS AND QUANTUM

Introduction

1. I am asked to advise Hartwell Pharma Limited ("Hartwell") on the merits and quantum of its claim against Cryovance Cold Chain Limited ("Cryovance") arising from two temperature excursions affecting consignments of HRX-118 drug substance in September and October 2025, and in particular on the prospects of defeating Cryovance's reliance on the limitation clause at clause 11.3 of the Services Agreement.

2. I have read the Services Agreement, the temperature data-logger records for both consignments, the QP stability assessments, the correspondence, and the draft witness statement of Dr Stephen Okoro.

Liability for breach

1. In my view Hartwell's prospects on breach are strong. Clause 4.1 imposes an unqualified obligation to maintain the 2–8°C range; the data loggers establish sustained excursions to 19.4°C and 14.1°C respectively. The failure to alarm and report the first excursion is a separate breach of clause 4.1, and the driver's deviation from the validated route on the second consignment is a clear breach of clause 4.4. The implied term under s.13 SGSA 1982 adds little but is properly pleaded.

2. Causation and the fact of total loss are matters on which Cryovance has put Hartwell to proof. The QP assessments and the established intolerance of the product to excursion above 8°C should carry that burden, but the expert evidence on GDP and product stability will be important.

The limitation clause – the central issue

1. Cryovance's case stands or falls on clause 11.3. Two routes are open to Hartwell. First, construction: clause 11.3 should be read as not extending to breach of the core cold-chain obligations in clause 4, which are the very obligations the contract exists to secure; a construction that allowed Cryovance to destroy product worth millions while capping liability at £500,000 would deprive the contract of much of its commercial purpose.

2. Second, and in my view the stronger route, reasonableness under s.3 and s.11 UCTA 1977. The factors in Schedule 2 favour Hartwell: the parties' relative bargaining positions were not grossly unequal, but the cap is a small fraction of the foreseeable loss, the risk was one Cryovance was far better placed to insure, and – critically – the second excursion occurred after Cryovance had been warned of the first. That repeated failure, which I would characterise as a reckless disregard of the GDP obligations, materially strengthens the unreasonableness argument.

3. I assess Hartwell's prospects of defeating or substantially limiting the operation of clause 11.3 at around 65–70%. If the cap is upheld in full, recovery would be limited to £500,000; if defeated, the full £3,286,000 plus interest is recoverable. The expected value of the claim plainly justifies proceeding.

Quantum

1. Quantum is well evidenced. The destroyed-batch values are taken from Hartwell’s standard cost records; the re-manufacture and expediting costs are vouched; the QP and disposal costs are modest and recoverable. Interest under s.35A is claimed at the court’s discretion; 5% simple to the date of issue is a reasonable working figure.

Recommendation

1. I recommend that Hartwell proceed, that it seek early specific disclosure of the vehicle, driver and CAPA records, and that it instruct a GDP cold-chain expert. I would resist any application to try clause 11.3 as a preliminary issue divorced from the facts of the second excursion, since the reasonableness argument is fact-sensitive.

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16 December 2025